Session 1 of 6

3 hours · practice game, founding, round 1

The founding team and the idea.

Understand the startup as a temporary organization searching for a repeatable business model, and choose the sector, the founding team and the equity split with care.

Session 1
Agenda

Today’s three hours.

01	02	03	04
Lesson	**Practice game**	**Teams and founding**	**Round 1**
40 minutes	30 minutes	45 minutes	35 minutes
What a startup is, why it fails, the founding team.	3-4 rounds of Solo vs bots, Essential complexity.	Name, sector, founders, equity and vesting.	First budget, discovery and MVP.

Lesson
What a startup is

A temporary organization in search of a repeatable, scalable business model.

After Steve Blank and Bob Dorf, The Startup Owner’s Manual (2012)

For Eric Ries, it is “a human institution designed to create a new product or service under conditions of extreme uncertainty.”

Eric Ries, The Lean Startup (2011)

Lesson
Blank · Graham

A startup is not a small business.

	Startup	Small business
Goal	Search for a business model	Execute a known model
Unknowns	Customer, price, channel	Very few: the market exists
Growth	Fast, or the idea fails	Steady and sustainable
Capital	Investors who accept the risk	Own savings and bank loans

- **In the game.** Every sector starts with customers, price and churn still to be discovered: customer discovery and pivots are how you search for the model that works.

Lesson
CB Insights

Why startups fail.



Multiple causes per startup. Source: CB Insights, analysis of 101 startup post-mortems (2014).

- **In the game.** The same causes show up in the numbers: a low PMF score, runway running out, founder morale, outside competitors, a price far from willingness to pay.

Lesson
The market

“When a great team meets a lousy market, market wins. When a lousy team meets a great market, market wins.

When a great team meets a great market, something special happens.”

Andy Rachleff, quoted by Marc Andreessen in The only thing that matters (2007)

- **In the game.** The sector sets market size, willingness to pay, churn and starting margin. You choose it on day one.

Lesson

Paul Graham, How to Get Startup Ideas (2012)

Look for problems, not ideas.

2007

Airbnb

Chesky and Gebbia can’t make rent in San Francisco, so they rent out three air mattresses during a design conference.

2007

Dropbox

Drew Houston forgets his USB drive before a bus trip. On the ride, he starts writing the code to sync his files.

2013

Slack

It starts as the internal chat of the team building Glitch, an online game that didn’t work. The game shuts down, the tool stays.

- **In the game.** Customer discovery measures how well the team understands the problem: problem clarity is the first component of product-market fit.

Lesson

Noam Wasserman, The Founder’s Dilemmas (2012)

Three choices to make before anything else.

Wasserman studied nearly 10,000 founders: the choices of the first months weigh on the company for its whole life.

Relationships

Who to found with: friends, colleagues or strangers, similar or complementary skills.

Roles

Who does what and who decides, starting with who will be CEO.

Rewards

How to split the equity, with what vesting, with what salaries.

- **In the game.** At founding, teams choose founder archetypes, the equity split and vesting: changing them later is costly.

Lesson
Relationships and roles

Who to found with.

Complementary skills

A team that can both build and sell covers more risks. Two identical profiles argue over the same decisions and leave everything else uncovered.

Friends and family

Starting with people you know is comfortable. According to Wasserman, though, these are the least stable teams: the awkward conversations get put off.

Apple, 1976. Ron Wayne, the third co-founder with 10%, leaves after twelve days and sells his stake for $800.

- **In the game.** For each skill, the team’s best founder is what counts; from the third founder on, each one adds only 35% of their working capacity.

Lesson
Rewards

An equal split is easy. It is not always fair.

What really counts

- The work of the coming years: an idea without execution is worth little.
- Skills that are hard to replace.
- The capital and personal risk put in at the start.
- The role: who will lead the company and who will leave a safe job.

1 in 3

teams split equally. Those who do it quickly, without discussing it, get lower valuations from investors on average.

Hellmann and Wasserman, The First Deal (2016)

- **In the game.** The company starts with 10 million shares split by the team; at the end of the game, the leaderboard looks at founders' wealth.

Lesson
Vesting and cliff

Equity is earned over time: 48 months, 12-month cliff.

Leaves at month 8	Leaves at month 12	Leaves at month 30
0%	25%	62.5%
Nothing vests before the cliff.	A quarter vests at the cliff.	Then one forty-eighth each month.

Snapchat, 2014. Reggie Brown, cut out with no written agreement, settles for $157.5 million.

- **In the game.** Vesting is optional. In the co-founder conflict dilemma, if one founder leaves, vesting decides how many shares go back to the company.

Lesson
Summary

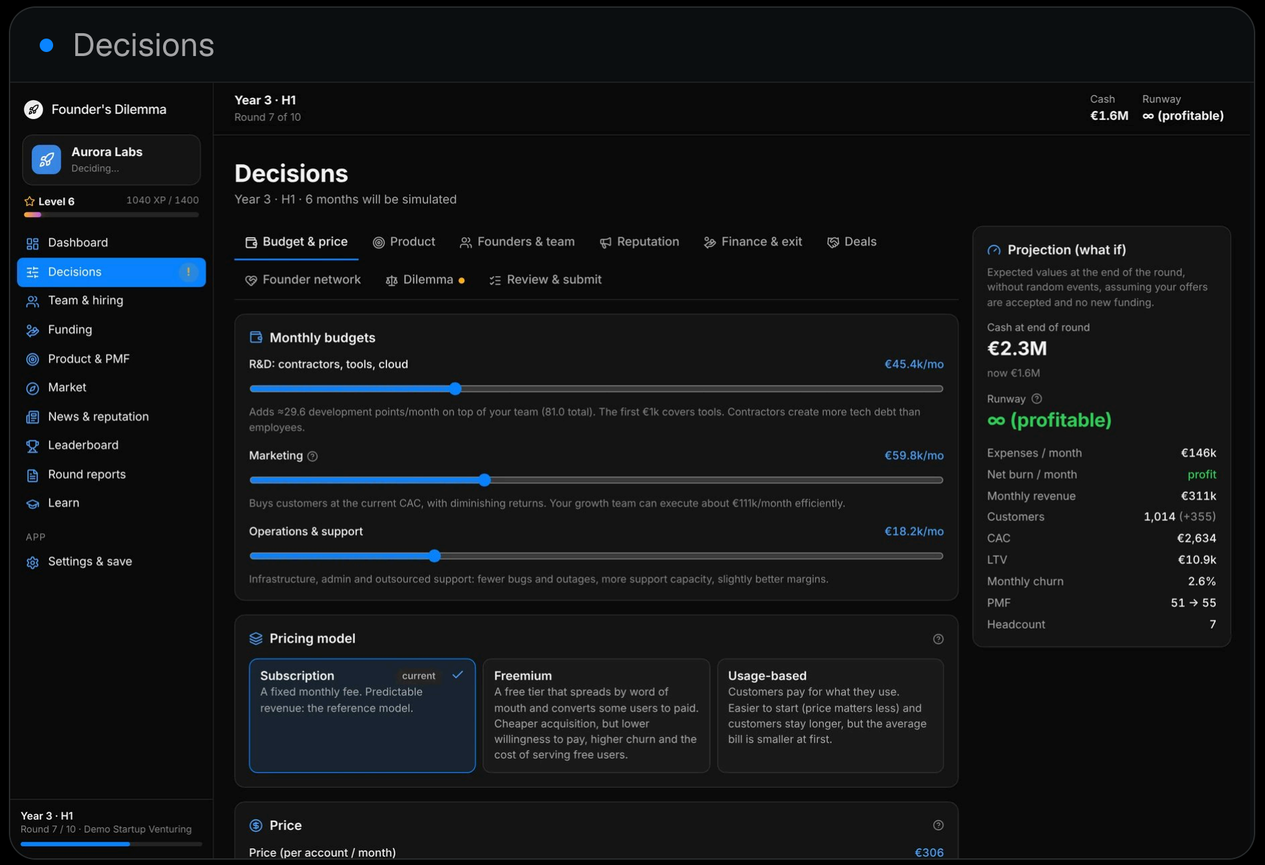
Before you found, five questions.

01	What problem, for whom, and how do we know?
02	Is the market big enough, and is it growing?
03	Do our skills cover the biggest risks?
04	How do we split the equity, and why exactly this way?
05	What happens if one of us leaves in six months?

In the game
Practice, founding, round 1

Today you found the company.

- **Practice game:** everyone alone against the bots, to learn the interface. No grade.
- **Founding:** name, sector, founder archetypes, equity and vesting.
- **Round 1:** first budget, customer discovery level, building the MVP.



Debriefing
Guiding questions

Three questions to close.

01 What is the riskiest assumption behind your idea? How will you test it cheaply?

02 Why this team? What would Wasserman say about your equity split, equal or not, and why?

03 How many months of runway do you want to keep?

Assignment

Decision memo for round 1

The decision memo: one page per round.

01	**Situation**	Cash, runway, PMF, customers, LTV/CAC: what changed and why.
02	**Hypotheses**	What do we expect to happen with this round’s decisions?
03	**Key decisions**	Three at most, each linked to a concept from the course.
04	**Risks and plan B**	What could go wrong and how we will respond.
05	**Review**	Did the hypotheses in the previous memo come true? What did we learn?

Next session: From problem to MVP.